

rebound in a recession might have little impact in a deleveraging. Dalio contends that any valid fundamental approach must be broad enough in scope—both temporal and geographical—to encompass all different environments. He believes such a “timeless and universal” approach is the only way to build a fundamental model that is sufficiently robust to represent the real world.

Investors are often baffled when markets respond to news events in counterintuitive fashion. Dalio vividly recalls these experiences when seemingly very bearish events, such as the United States coming off the gold standard in 1971 and the Mexican default in 1982, were to his great surprise followed by major market rallies. In part, this seemingly paradoxical market behavior can be explained by the fact that markets often anticipate the news. The other part of the explanation is that bearish events can trigger new events with bullish consequences. For example, developments that have very negative implications for the economy and investor sentiment can prompt central bank countermeasures that lead to rallies.

If there is a single essential lesson to learn from Dalio, it is that mistakes provide the path to improvement and ultimate success. Each mistake offers an opportunity to learn from the error and to modify one’s approach based on this new information. Whenever you make a significant mistake in trading, write it down, both to reinforce the lesson and to serve as a future reminder. Then change your trading process based on this new experience. In this way, mistakes can become the essential ingredient for continual improvement as a trader, or for that matter any other endeavor.

Addendum: Ray Dalio’s Big Picture View

Dalio’s big picture perspective applies not only to temporal and geographic breadth, but also to viewing the markets and economies through the lens of long-term cycles and trends. Dalio’s template for understanding economies consists of superimposing three forces that together explain the position and direction of any economy: